

SAMPLE GUIDELINE

1. Introduction

This guideline sets out expectations for financial institutions regarding model risk management. Institutions should maintain a comprehensive model inventory.

1.1. Scope

This section applies to all federally regulated financial institutions (FRFIs) in Canada.

2. Definitions

A model is a quantitative method that applies statistical, economic, financial or mathematical theories.

3. Expectations

Institutions must establish a sound model risk management framework that includes governance, validation and monitoring.